

the net working assets by sales.

$$\text{Net working investments ratio} = \frac{\text{Stocks} + \text{Debtors} - \text{Creditors}}{\text{Sales}}$$

***Illustration***

In the latest financial year, the average stocks, debtors and creditors of Tamara Ltd. were Rs. 38 crore, Rs. 45 crore and Rs. 30 crore, respectively. Its sales in that year were Rs. 500 crore.

Net working investments ratio =

$$\frac{38 + 45 - 30}{500} = 0.086$$

The company's net working investments were 8.6% of its sales. If this is the optimum level, then for every Rs. 100 lakh of sales, net working investments would need to rise by Rs. 8.6 lakh. This ratio is therefore extremely useful in assessing working capital requirements.

In short, this ratio highlights the working capital requirements of a company and helps an investor determine whether the company's working capital is controlled efficiently.